of Employment, Interest and Money in 1936. In his view, economic downturns were caused by periodic collapse of investment; they could be overcome by fiscal deficits (excess of government spending over tax revenue), expansion of money supply (which comes from governments as well as banks), and reduction of interest rates (which are the cost of loans and can be reduced by buying up loans or giving loans at lower cost).

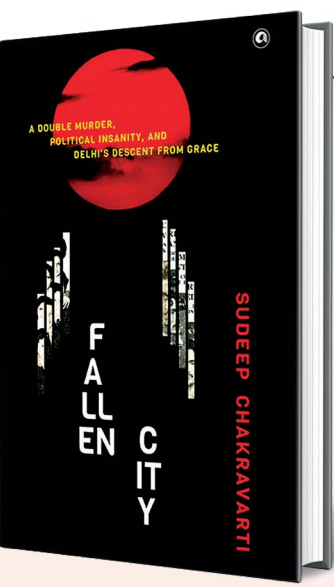
That is how central banks learnt to reduce interest rates when growth and price change went down too much. The pioneer was the Bank of Japan. The Japanese economy peaked in 1989: the Nikkei stock market index lost half its value in the next three years, and lost another 40 per cent by 2003; commercial property prices fell by 80 per cent in those dozen years. The official discount rate was half a per cent in most of the 1990s; it was reduced to 0.1 per cent in September 2001. The US federal funds rate was 5-7 per cent in the early 1990s. It went below 2 per cent in the early 2000s, and after rising to 5 per cent in 2006-07, it fell to zero for most of the 2010s.

SHARMA writes about the danger from zombie companies, who borrow without repaying, but stops short of giving a clear solution

When interest rates fall to zero, borrowers do not have to pay anything to lenders. With such a good bargain, why would they repay loans? They would borrow all they can, splurge it and have a great time. Thus, a new type of company—one which borrowed and never repaid—came into existence. It is called a zombie company. In the US, they multiplied. They became too important; if they had gone bankrupt and closed down, the entire economy might have tumbled. So, the US government bailed them out—or made them survive moribund. A good proportion of the book is about the rise of zombie companies, the support they received from the government, and the consequent fiscal risk the US came to face. It was not just the US; many capitalist countries went through the same cycle.

Sharma has written this book for the common man, and avoided giving it a scholarly look. Instead of footnotes, it has end-notes. The text does not refer to them; they refer to particular sentences or just words in the text and give sources or comments. He does not drive towards conclusions; in the end, it is unclear what he wants the US government to do. The general message is—or is presumably meant to be—that governments should avoid running fiscal deficits and incurring heavy public debt, and not keep bankrupt firms alive with public subsidies. In the end, the basic questions remain without a clear answer—how should heavily indebted governments rescue themselves, and how should they keep their economies clear of zombie companies? The answer would have to cover equity—risk capital, which would protect firms from debt crises—and liquidation—bankruptcy proceedings, which would close firms down when their equity can no longer cope with their debt. And a capitalist economy would run aground without increase in productivity, which requires innovation. The book is all about stagnation and financial crisis; but on growth, which would rule both out, it is silent. ■

–Ashok V. Desai



FALLEN CITY: A Double Murder, Political Insanity, and Delhi's Descent from Grace
By Sudeep Chakravarti
ALEPH
248 pages; ₹**799**

two men in their twenties forced their way into a coach bristling with army personnel. The duo were captured, interrogated and identified as the fugitives connected to the kidnapping in the capital.

In media reports, they were known as Billa and Ranga, aliases for Jasbir Singh and Kuljeet Singh (not related). The evidence implicating them was overwhelming. By 1982, all appeals for staying the execution failed. On January 31, a rare double-hanging took place in Tihar Jail's "phansi-kothi" or gallows house.

Chakravarti's account is packed with dates, names and locations. He quotes from legal briefs, press interviews and newspaper articles. The real subject of the book, however, is the city itself.

Alongside the grim details of the murder, Chakravarti sets out to describe a metropolis–and a nation–sinking into moral, political and administrative squalor. His writing style leans towards purple prose and clichés, but I give him points for sincerity and doggedness.

The Chopra story remained at the forefront of the nation's sense of outrage, but countless other atrocities continued to trickle by on the back pages of history. Quoting statistics from that era, Chakravarti notes that murders in Delhi occurred at the rate of "once every 44 hours", against the horrifying national average of one every 20 minutes.

And that was 50 years ago! The author's summation is gloomy but in my view, the actions of scooterist Noato in this story represent beacons of hope. So long as there are people like him, there's a chance that a fallen city might one day rise again. ■

–Manjula Padmanabhan